

Human Rights and Investor–State Dispute Settlement Reform: Fitting a Square Peg into a Round Hole?

Kabir A.N. Duggal* and Nicholas J. Diamond  **

ABSTRACT

Investor–State dispute settlement (ISDS) is undergoing a seismic shift, not least regarding its relationship with human rights. We apply the three ‘generations’ of human rights framework to ISDS reform, underscoring fundamental tensions between ISDS and human rights considerations. The resultant tensions are as varied as calls for reform spanning, *inter alia*, permissive human rights provisions in international investment agreements, inconsistent State practices regarding human rights in model agreements, and case law that largely ignores human rights considerations. We acknowledge these tensions, noting where they persist, as well as where the seeds of reform have already been sewn. We contend that ongoing ISDS reform efforts provide opportunities to infuse the ISDS architecture with a newfound emphasis on all generations of human rights, thereby overcoming many of the persistent tensions that have previously encumbered efforts to develop synergies between ISDS and international human rights law.

1. TOWARDS THEMATIC VALUES: WHAT IS THE ROLE FOR HUMAN RIGHTS IN ISDS REFORM?

Calls for Investor–State dispute settlement (ISDS) reform in recent years have catalysed multi-stakeholder efforts to evolve both substantive and procedural dimensions, not least regarding whether the ISDS regime aligns with and supports human rights considerations. ISDS has not always entertained such a progressive view on the relevance of human rights tending, instead, to view such considerations as tangential to core issues under dispute. Indeed, as a system, it is fundamentally concerned with the protection of property rights of foreign investors, not human rights *per se*.

In human rights literature, human rights have been categorized under three ‘generations’ of rights: first-generation rights relate to civil and political liberties (eg right

* SJD Candidate, Harvard Law School E-mail: kduggal@sjd.law.harvard.edu.

** Ph.D. Candidate, Leiden Law School. E-mail: njd9@georgetown.edu. The views expressed are personal to both authors and do not reflect the views of any of their institutional affiliations. Both authors reserve their right to change their position. The authors express with gratitude the comments from Professor Gerald L. Neuman at Harvard Law School.

to a fair trial or freedom of speech); second-generation rights relate to social, economic and cultural rights (eg right to housing or right to education); and third-generation rights or 'rights of solidarity', relate to collective rights (eg right to a healthy environment).¹ We unequivocally underscore that human rights are recognized as indivisible and interdependent; however, employing this generation-of-rights framework provides a unique lens through which to consider ISDS reforms. Indeed, this lens helps us appreciate the nuances of human rights law and provides a framework for us to compare proposed changes to ISDS as a part of the reform process against the various generations-of-rights.

Applying this framework to ISDS, we note that most international investment agreements (IIAs) recognize certain civil and political rights—for example, the right to property, right to access of justice, right to due process and the like—although systemically IIAs discriminate against non-foreigners. These rights are often made available only to a very narrow set of entities—namely, foreign investors—while at the same time insufficiently focus on second- or third-generation human rights.

Therefore, the challenge for ISDS is twofold. First, certain generations of rights may be neither directly nor indirectly applicable to investors; however, States are nonetheless responsible for human rights violations committed by said investors on their soil. Secondly, ISDS as a system has an impact on all generations of human rights vis-à-vis providing the architecture for both promoting and protecting foreign investment, yet said system has not historically concerned itself with the direct human rights impact of such activities. Viewed narrowly, ISDS may be seen as simply a dispute settlement system, facilitated by sophisticated procedural mechanisms. We would, however, suggest a broader view on the evolution of ISDS—namely, as likewise reflecting a substantive dimension by virtue of both the role of IIAs in said procedural mechanisms and the inherent interconnectedness of all substantive obligations arising under international law.

Recent ISDS reform discussions have increasingly called for recognition of a broader spectrum of human rights, especially second- and third-generation rights, by evolving the ISDS architecture beyond its narrow roots in protecting property rights in the foreign investment context. There is, however, a fundamental tension between ISDS and human rights considerations, the historical roots of which constitute persistent barriers to realization of reform objectives. Such barriers are as varied as calls for reform spanning, *inter alia*, permissive human rights provisions in IIAs, inconsistent State practices regarding human rights in model agreements, and case law that largely ignores human rights considerations. We describe these barriers, noting where they persist, as well as where the seeds of reform have already been sown. We contend that ongoing ISDS reform efforts provide opportunities to infuse the ISDS architecture with a newfound emphasis on all generations of human rights, thereby pushing back against persistent barriers that have previously encumbered efforts to develop synergies between ISDS and human rights. The query becomes assessing how effective these reform processes are in actually promoting and protecting human rights.

1 Spasimir Domaradzki, Margaryta Khvastova and David Pupovac, 'Karel Vasak's Generations of Rights and the Contemporary Human Rights Discourse' (2019) 20 Human Rights Review 423, 424–26.

In Section 2, we provide an overview of notable human rights references in IIAs and investor–State disputes. We underscore that, despite the increased presence of human rights considerations on both fronts, several fundamental barriers persist, which offer instructive lessons for the ambit of ongoing ISDS reform efforts. In Section 3, we discuss the closely related matter of the evolution of model investment agreements, which both specifically and thematically reflects the increased presence of human rights considerations. Indeed, the trend toward acknowledgment of second- and third-generation rights in this regard offers instructive lessons for the evolution of IIAs alongside broader ISDS reform efforts. Finally, in Section 4, we turn to ISDS reforms, commenting on several threads in reform discussions with direct relevance for human rights. We conclude that advancement of reform discussions, as shepherded by an awareness of the need to reflect second- and third-generation rights, offers a propitious opportunity to break down many of the persistent barriers that have historically driven the proverbial wedge between ISDS and international human rights law. The failure to appropriately consider and address second- and third-generation rights will not only be a loss of this historic moment of reform, but will also result in a second wave of backlash against ISDS *despite* all these reform processes.

2. HUMAN RIGHTS REFERENCES IN INTERNATIONAL INVESTMENT AGREEMENTS AND DISPUTES: A HISTORY OF PERSISTENT BARRIERS

This section provides an overview of selected human rights references in both IIAs and investor–State disputes, with an emphasis on surfacing persistent barriers that encumber human rights considerations in ISDS. First, it provides selected examples of human rights references in IIAs. Secondly, it discusses how human rights considerations have arisen in investor–State disputes, with an emphasis on the case law arising from the Argentine economic crisis and selected human rights references in the context of counterclaims. Thirdly, and finally, it categorizes persistent barriers across both IIAs and disputes. Importantly, where considered alongside the trajectory of ISDS reform, the current status of both IIAs and investor–State disputes does not precisely align with the objective of advancing second- and third-generation human rights. While certain recent Model Agreements, discussed in Section 3, below, seek to evolve this foundation, both IIAs and investor–State disputes presently provide for only the *interpretative possibility* of achieving such an objective, rather than directly and specifically advancing it.

A. Elevating Human Rights in International Investment Agreements

In IIAs, both preambular text and provisions can be relevant for human rights because of reference to ‘human rights’ or human rights instruments, or because certain provisions can be interpreted or applied to support human rights in the investment context. This section provides an overview of relevant preambular text or provisions in five key categories: (i) preambular text; (ii) provisions establishing investor responsibilities; (iii) general exceptions provisions and (iv) provisions seeking to preserve regulatory autonomy. Because direct references to ‘human rights’, specific

rights or norms, or specific instruments are less common, relevance remains an interpretative matter, which thereby bears on human rights considerations throughout the ISDS process. Notably, as discussed in Section 3, below, such themes are equally reflected in, and even advanced by, certain Model Agreements.

(i) *Preambular text*

The preamble to an IIA informs the general object and purpose of the instrument.² Article 31(1) of the Vienna Convention on the Law of Treaties requires that the provisions of an IIA be interpreted in view of its object and purpose.³ More narrowly, preambular text has informed how tribunals interpret the fair and equitable treatment standard, not least to conclude that the object and purpose of promoting and protecting foreign investment envisions a stable domestic legal regime.⁴ IIAs may refer in preambular text to the parties' commitment to respecting human rights.⁵ Less commonly, they may even refer to specific human rights instruments, such as affirming the parties' commitment to the Universal Declaration of Human Rights.⁶ While such preambular text does not establish specific obligations for the parties, it may play a supplemental role alongside substantive provisions to inform an interpretation of the instrument *in toto* that prioritizes human rights considerations.⁷

(ii) *Investor responsibilities*

Provisions establishing investor responsibilities may refer to non-binding human rights guidelines on responsible business conduct. Article 15(1) of the Brazil–UAE Bilateral Investment Treaty (BIT) is a prototypical example, including aspirational language requiring that investors strive to conduct their business in accordance with the Organisation for Economic Co-operation and Development Guidelines for Multinational Enterprises (the 'OECD Guidelines').⁸ Indeed, investor responsibilities that refer to human rights are typically non-binding, as exemplified in the aspirational language in the Brazil–UAE BIT. Equally, such provisions are typically directed to States, rather than establishing direct obligations for investors. The Morocco–Nigeria BIT is a notable exception in this regard, requiring that investors uphold human rights in the host state.⁹ As discussed below, such open-textured, non-binding

2 eg *Romak S.A. v Republic of Uzbekistan* [2009] Award, PCA Case No AA280, [181].

3 Vienna Convention on the Law of Treaties (opened for signature 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331, art 31(1).

4 eg *Enron Corporation and Ponderosa Assets, L.P. v Argentine Republic*, Award, ICSID Case No ARB/01/3 (22 May 2007), [259].

5 eg Economic Partnership Agreement between the CARIFORUM States, of the one part, and the United Kingdom of Great Britain and Northern Ireland, of the other part (signed 22 March 2019), preamble (hereafter CARIFORUM States–United Kingdom EPA).

6 eg Investment Protection Agreement between the EU and its Member States, of the one part, and the Socialist Republic of Viet Nam, of the other part (signed 30 June 2019), preamble.

7 Barnali Choudhury, 'Exception Provisions as a Gateway to Incorporating Human Rights Issues into International Investment Agreements' (2011) 49 *Columbia Journal of Transnational Law* 670, 713–14.

8 Cooperation and Facilitation Investment Agreement between the Federative Republic of Brazil and the United Arab Emirates (signed 15 March 2019), art 15(1).

9 Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (signed 3 December 2016), art 18(2).

and State-directed provisions do not speak specifically to second- and third-generation human rights.

(iii) *General exceptions*

General exceptions provisions have played a critical role in the case law.¹⁰ Such provisions permit a State to lawfully undertake actions that would otherwise be inconsistent with its substantive obligations under the IIA, although such actions may nonetheless result in liability. Two varieties of such provisions may be relevant for human rights. First, an IIA may except measures taken for the maintenance of ‘public order’.¹¹ Secondly, and more specifically, an IIA may except measures necessary to protect human life or health.¹² Unsurprisingly, and particularly for references to ‘public order’, the relevance of such language for human rights considerations turns on the facts of the dispute, as well as how the tribunal interprets these facts relative to the scope of such language. In principle, nothing prohibits a tribunal from interpreting such language to shield a State from liability for the adoption or enforcement of measures taken to respect, protect, or fulfil its human rights obligations on the international plane. The decision calculus for a tribunal is, however, likely to be a complex weighing of, *inter alia*, good faith on the part of the state, the purpose and scope of the measures, the need for judicial deference, and any overlapping defences raised like necessity under the Articles on Responsibility of States (ARS) for Internationally Wrongful Acts.¹³ Indeed, States may rely on such provisions to defend against liability in disputes arising out of public health and economic measures adopted in response to the novel coronavirus 2019 (‘COVID-19’) pandemic.¹⁴

(iv) *Regulatory autonomy*

States generally enjoy broad regulatory autonomy.¹⁵ This pillar of sovereignty enables States to enact domestic measures intended to satisfy their direct obligations regarding human rights on the international plane.¹⁶ The evolution of IIAs has limited this broad authority because States necessarily cede some measure of

10 eg *CMS Gas Transmission Company v Argentine Republic* [2005] Award, ICSID Case No ARB/01/8 (hereafter *CMS*); *Continental Casualty Company v Argentine Republic*, Award, ICSID Case No ARB/03/9 (5 September 2008).

11 eg Agreement between Australia and the Oriental Republic of Uruguay on the Promotion and Protection of Investments (signed 5 April 2019), art 15(1)(b) (hereafter Australia–Uruguay BIT).

12 eg *Accord entre le Gouvernement du Burkina Faso et le Gouvernement de la République de Turquie sur la Promotion et al Protection Reciproque des Investissements* (signed 11 April 2019), art 5(1)(a).

13 See ‘Articles on Responsibility of States for Internationally Wrongful Acts’ in *Report of the International Law Commission on the Work of Its Fifty-Third Session*, UN GAOR, 56th Sess., Supp No 10, UN Doc A/56/10, 2001, art 25.

14 Nicholas J Diamond, ‘Pandemics, Emergency Measures, and ISDS’ (*Kluwer Arbitration Blog*, 13 April 2020), <<http://arbitrationblog.kluwerarbitration.com/2020/04/13/pandemics-emergency-measures-and-isds/>> accessed 13 April 2020.

15 Markus Wagner, ‘Regulatory Space in International Trade Law and International Investment Law’ (2015) 36 *University of Pennsylvania Journal of International Law* 1, 4.

16 Louis Henkin, ‘Human Rights and State “Sovereignty”’ (1995–96) 25 *Georgia Journal of International and Comparative Law* 31, 41–43.

sovereignty by entering into such agreements,¹⁷ largely in exchange for attracting foreign investment.¹⁸ IIAs may, nonetheless, include provisions that seek to preserve regulatory autonomy, including vis-à-vis human rights. No discernible trend persists in this regard, however. Some IIAs seek to preserve regulatory autonomy specifically for public health in preambular text.¹⁹ Others contain operative provisions relative to protecting human life and health²⁰ or 'legitimate public policy objectives', including public health²¹ or human rights.²² Others still may mention core labour standards.²³ The practical impact of such provisions on State practices and investor conduct is, however, uncertain. Tribunals will likely rely on a proportionality analysis to weigh and balance State measures to respect, protect, or fulfil human rights against investor protections.²⁴

B. Human Rights in Investor–State Disputes: Mere Mentions with Little Impact

Human rights considerations increasingly arise in investor–State disputes. As example, one study analysed 46 textual documents, 42 of which were awards, from the period of 1989–2015, which contain explicit references to human rights.²⁵ References spanned different types of instruments, including international, regional and local human rights instruments.²⁶ Likewise, human rights considerations were raised by both claimants and respondents, as well as by the tribunal.²⁷ For illustrative purposes, this section discusses two selected threads from the case law, but is by no means an exhaustive overview. First, it considers the case law arising from the Argentine economic crisis, wherein human rights considerations were raised in several disputes. Secondly, it considers recent developments regarding the nexus of human rights considerations and counterclaims.

(i) The Argentine economic crisis and the role of human rights in subsequent disputes

In 1989, after several significant currency devaluations, Argentina passed an emergency measure privatizing state-run public services, catalysing subsequent foreign

17 Stephanie Bijlmakers, 'Effects of Foreign Direct Investment Arbitration on a State's Regulatory Autonomy Involving the Public Interest' (2012) 23 *American Review of International Arbitration* 245, 249.

18 Charles N Brower and Stephan W Schill, 'Is Arbitration a Threat or a Boon to the Legitimacy of International Investment Law?' (2009) 9 *Chicago Journal of International Law* 471, 474.

19 eg Australia–Uruguay BIT (n 11) preamble.

20 Indonesia–Australia Comprehensive Economic Partnership Agreement (signed 4 March 2019), art 14.6(6).

21 Agreement between the Government of the Republic of Belarus and the Government of Hungary for the Promotion and Reciprocal Protection of Investments (entered into force 28 September 2019), art 3(1).

22 Acuerdo de Cooperación y de Facilitación de Inversiones entre la República Federativa del Brasil y la República del Ecuador (signed 25 September 2019), art 17(1).

23 CARIFORUM States–United Kingdom EPA (n 5), art 72(b).

24 eg *Azurix Corporation v Argentine Republic* [2006] Award, ICSID Case No ARB/01/12.

25 Silvia Steininger, 'What's Human Rights Got to Do With It? An Empirical Analysis of Human Rights References in Investment Arbitration' (2018) 31 *Leiden Journal of International Law* 33.

26 *ibid* 38–41.

27 *ibid* 41–45.

investment across the gas, electricity and water sectors.²⁸ The convergence of several economic factors, however, resulted in a severe economic downturn, marked by a near-20% contraction of the Argentine economy over the 1998–2002 period.²⁹ In 2002, Argentina passed sweeping measures in response to the crisis.³⁰ These measures, *inter alia*, abandoned the peg of the Argentine peso to the US dollar and ushered in a new system of exchange rates, which immediately affected existing foreign investment interests.³¹ Many disputes arose, wherein Argentina sought to have its breaches of obligations under the applicable investment treaties absolved of liability. Several of these disputes include references to human rights considerations.

First, in *CMS*, Argentina relied on both an exception for measures taken for the maintenance of public order in the Argentina–US BIT³² and necessity under Article 25 ARS to defend against liability.³³ In particular, Argentina put forth an argument rooted in, on its view, the priority of human rights norms over obligations arising under an IIA. It argued that ‘as the economic and social crisis that affected the country compromised basic human rights, no investment treaty could prevail as it would be in violation of such constitutionally recognized rights’.³⁴ The tribunal, however, disagreed, rejecting Argentina’s defence of necessity and affording only passing mention of human rights.³⁵ Indeed, the tribunal simply stated that ‘there is no question of affecting fundamental human rights’ in the case.³⁶

Secondly, in *Sempra*, as in *CMS*, Argentina similarly sought to rely on the exception provision in the Argentina–US BIT and necessity under Article 25 ARS. The issue of how human rights obligations may relate to this defence arose during a hearing, wherein an expert witness was asked if Argentina would have been compelled because of the Inter-American Convention on Human Rights to maintain its constitutional order, to which the expert witness answered affirmatively.³⁷ Curiously, the tribunal mentions this exchange, yet largely did not engage with the substance of the issue, stating that ‘the real issue’ concerned whether the constitutional order in Argentina had been threatened by the economic crisis and, if so, whether Argentina could have taken other measures to achieve equivalent objectives.³⁸ As such, the

28 *LG&E Energy Corp v Argentine Republic* [2006] Decision on Liability, ICSID Case No Arb/02/1, [35].

29 International Monetary Fund, ‘The IMF and Argentina 1991–2001’ (2004), 8 <<https://www.imf.org/en/Publications/Independent-Evaluation-Office-Reports/Issues/2016/12/31/The-IMF-and-Argentina-1991-2001-17590>> accessed 3 March 2021.

30 Ley de Emergencia Publica y de Reforma del Régimen Cambiario, Ley No 25.561 (6 January 2002), <<http://servicios.infoleg.gob.ar/infolegInternet/anexos/70000-74999/71477/norma.htm>> accessed 3 March 2021.

31 Gebhard Bücheler, *Proportionality in Investor-State Arbitration* (OUP 2015) 21–22.

32 Treaty between United States of America and the Argentine Republic Concerning the Reciprocal Encouragement and Protection of Investment (signed 14 November 1991, entered into force 20 October 1994), art XI.

33 International Law Commission, ‘Articles on Responsibility of States for Internationally Wrongful Acts’ in ‘Report of the International Law Commission on the Work of Its Fifty-Third Session’ (2001) UN GAOR, 56th Sess, Supp No 10, UN Doc A/56/10, art 25.

34 *CMS* (n 10) [114].

35 *ibid* [319–31].

36 *ibid* [121].

37 *Sempra Energy International v Argentine Republic* [2007] Award, ICSID Case No ARB/02/16, [331].

38 *ibid* [332].

tribunal chose instead to focus on the economic considerations impacting whether necessity applied, absent consideration of whether human rights warranted special weight in its deliberations.

Thirdly, in *Suez-InterAgua*, Argentina once again raised a defence of necessity under customary international law. However, unlike in *CMS* and *Sempra*, neither of the two applicable BITs contained an exception provision regarding public order.³⁹ Argentina argued that its obligations regarding the right to water superseded its obligations under the BIT and the presence of such a right enabled it to take actions contrary to its obligations under the BIT.⁴⁰ Perhaps because Argentina did not further develop this argument, the tribunal, unsurprisingly, concluded that it could ‘not find a basis for such a conclusion either in the BITs or international law’.⁴¹ Notably, the tribunal held that Argentina was subject to the obligations arising under both human rights and the BITs.⁴² Thus, ‘Argentina’s human rights obligations and its investment treaty obligations are not inconsistent, contradictory, or mutually exclusive’,⁴³ thereby suggesting that States must seek to strike a balance between (sometimes) competing human rights and foreign investment objectives.

(ii) *The renewed focus on counterclaims as a vehicle to raise human rights issues*

On the international plane, States are responsible for their own human rights violations, as well as abuses by businesses that occur within their territory.⁴⁴ In principle, counterclaims may enable a host State to raise violations by investors in support of satisfying these direct obligations. Both the ICSID⁴⁵ and UNCITRAL⁴⁶ arbitration rules provide for the possibility that a tribunal may entertain a counterclaim. Whether a tribunal will entertain a counterclaim will depend on if the dispute settlement clause is broad enough to envision counterclaims⁴⁷ and, especially relevant for human rights, if the applicable law clause is broad enough to include human rights obligations arising under international law.

Two tribunals have recently entertained the merits of a counterclaim in the context of host State obligations regarding human or environmental rights on the international plane. In *Urbaser*, Argentina brought a counterclaim rooted in its international human rights obligations, arguing that the claimants had not simply violated contractual obligations, ‘but basic human rights, as well as the health and the

39 *Suez, Sociedad General de Aguas Barcelona S.A., and InterAgua Servicios Integrales del Agua S.A. v Argentine Republic* [2010] Decision on Liability, ICSID Case No ARB/03/17, [240].

40 *ibid.*

41 *ibid.*

42 *ibid.*

43 *ibid.*

44 See United Nations Human Rights Committee, ‘General Comment No. 31 – Nature of the General Legal Obligation Imposed on States Parties to the Covenant’ UN Doc CCPR/C/21/Rev.1/Add.13 (26 May 2004), [8]; Office of the High Commissioner, United Nations Human Rights, ‘Guiding Principles on Business and Human Rights: Implementing the United Nations ‘Protect, Respect and Remedy’ Framework’ (2011), prin 1 (hereafter UNGPs).

45 Convention on the Settlement of Investment Disputes Between States and Nationals of Other States, 17 UST 1270, TIAS No 6090, 575 UNTS 159 (27 August 1965), art 46 (hereafter ICSID Convention).

46 UNCITRAL Arbitration Rules (as revised in 2013), GA Res 68/79, UN Doc A/68/462 (16 December 2013), art 21(3).

47 See *Spyridon Roussalis v Romania* [2011] Award, ICSID Case No ARB/06/1.

environment of thousands of persons, most of which lived in extreme poverty'.⁴⁸ In particular, Argentina disagreed with the claimants as to which party was responsible for guaranteeing the right to water.⁴⁹ Claimants argued that this obligation rested with the State, while Argentina maintained that '[c]laimants' most important obligation . . . was to guarantee the access to water and thus to comply with a fundamental human right'.⁵⁰

The tribunal followed a typical approach for weighing counterclaims, first considering the dispute settlement clause and then the applicable law. Regarding former, the tribunal found that because it was neutral as to which party could bring a claim, it could in principle entertain the counterclaim.⁵¹ Regarding the latter, the tribunal observed that the BIT did not exist 'as an isolated set of rules of international law for the sole purpose of protecting investments through rights exclusively granted to investors'.⁵² As such, the BIT is not 'a closed system strictly preserving investors' rights',⁵³ but a part of international law, thereby including human rights.⁵⁴ The tribunal then engaged in a rather controversial discussion of which parties may hold human rights obligations. The tribunal expressed its 'reluctan[ce]' to accept that guaranteeing the right to water must be exclusively a State obligation.⁵⁵ As support for this view, the tribunal expressed that the view that 'corporations are by nature not capable of being able to be subjects of international law . . . has lost its impact and relevance'⁵⁶ and that 'international law accepts corporate social responsibility'.⁵⁷

After an extended discussion of the right to water, the tribunal—somewhat abruptly—pivoted to bifurcate obligations arising under international law and those arising under the concession contract.⁵⁸ Argentina had not argued that the claimants violated a purported obligation regarding human rights *under international law*, but that performance under the concession contract entailed services impacting the human right to access to water.⁵⁹ As such, the tribunal held that while a State has direct obligations regarding the human right rights under international law, this does not extend to 'investors who pursue . . . the same goal, but on the basis of the [c]oncession [contract] and not under an obligation derived from the human right to water'.⁶⁰ Thus, the merits of the counterclaim could not be sustained.

Secondly, in *Aven*, Costa Rica brought a counterclaim based on domestic and customary international law obligations regarding protection of the environment.⁶¹ *Aven*

48 *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v Argentine Republic* [2016] Award, ICSID Case No ARB/07/26, [1156].

49 *ibid* [1157].

50 *ibid* [1157], [1161].

51 *ibid* [1187].

52 *ibid* [1188].

53 *ibid* [1191].

54 *ibid* [1192].

55 *ibid* [1193].

56 *ibid* [1194].

57 *ibid* [1195].

58 *ibid* [1206].

59 *ibid*.

60 *ibid* [1210].

61 *David Aven et al. v Republic of Costa Rica* [2018] Final Award, Case No UNCT/15/3, [699] (hereafter *Aven*).

followed both *Burlington*⁶² and *Perenco*,⁶³ which both also addressed environmental counterclaims. However, these two disputes notably differed from *Aven* in that the claimants consented to jurisdiction over the counterclaim. In *Aven*, as in *Urbaser*, the tribunal found that the dispute settlement clause was ‘in principle wide enough’ to envisage counterclaims and, in particular, not exclusively claims brought by an investor.⁶⁴

Regarding substantive issues, Costa Rica argued that investor rights under the applicable IIA, the Dominican Republic–Central America Free Trade Agreement (DR-CAFTA), can be subordinated to the protection of the environment.⁶⁵ Referencing *Urbaser*, Costa Rica further argued that such obligations are ‘binding not only upon sovereign States, but also upon legal and natural persons’.⁶⁶ The tribunal, seemingly echoing the reasoning of the tribunal in *Urbaser*, stated that ‘[i]t is true that the enforcement of environmental law is primarily to the States, but it cannot be admitted that a foreign investor could not be subject to international law obligations in this field, particularly in the light of [the relevant provisions] of DR-CAFTA’.⁶⁷ However, the tribunal found that while the DR-CAFTA accords States ‘a significant margin of appreciation’ regarding environmental measures, such provisions do not impose any affirmative obligations regarding the environment on investors.⁶⁸

C. Persistent Barriers Minimize Human Rights Impact

Across both IIAs and investor–State disputes, the above section makes apparent that significant barriers to a robust role for human rights in the investment context persist. This section briefly characterizes these barriers, which *in toto* hinder efforts to advance second- and third-generation human rights within ISDS.

(i) What can be arbitrated?

The dispute settlement clause of an IIA determines the matters that may be submitted to arbitration.⁶⁹ Because it reflects party consent, a tribunal does not have the competence to hear claims that do not fall within its scope.⁷⁰ The dispute settlement clause can be a barrier for the introduction of human rights considerations in investment disputes in at least two regards.

62 *Burlington Resources Inc v Republic of Ecuador* [2017] Decision on Counterclaims, ICSID Case No ARB/08/5.

63 *Perenco Ecuador Limited v Republic of Ecuador* [2017] Decision on Perenco’s Application for Dismissal of Ecuador’s Counterclaims, ICSID Case No ARB/08/6.

64 *Aven* (n 61) [740].

65 *ibid* [8].

66 *ibid* [697–99].

67 *ibid* [737].

68 *ibid* [743].

69 See Pierre-Marie Dupuy, ‘Unification Rather than Fragmentation of International Law? The Case of International Investment Law and Human Rights Law’ in Pierre-Marie Dupuy, Francesco Francioni and Ernst-Ulrich Petersmann (eds), *Human Rights in International Investment Law and Arbitration* (OUP 2009) 46, 56.

70 Eric De Brabandere, *Investment Treaty Arbitration as Public International Law: Procedural Aspects and Implications* (CUP 2014) 131–32.

First, human rights claims do not have autonomous standing as independent claims before investment tribunals.⁷¹ As such, the independent significance of the dispute settlement clause remains limited.⁷² As example, in *Biloune*, the tribunal expressed its reluctance to consider independent claims for alleged violations of human rights, despite arguably obvious alleged human rights violations under the facts, not least because its jurisdiction was limited by the consent of the parties as reflected in the dispute settlement clause.⁷³

Secondly, as demonstrated by *Urbaser* and *Aven*, the dispute settlement clause plays a foundational role in conferring jurisdiction over counterclaims. A broadly worded dispute settlement clause might refer to 'any legal dispute arising directly out of an investment',⁷⁴ whereas a narrower counterpart might limit arbitrable claims to only those that relate to specific substantive protections provided under the IIA.⁷⁵ While the tribunals in *Urbaser* and *Aven* construed the respective dispute settlement clauses broadly, other tribunals, such as in *Gavazzi*, have recently narrowly construed dispute settlements clauses, thereby denying jurisdiction over counterclaims.⁷⁶ Relatedly, a sufficiently broad dispute settlement clause would merely permit a tribunal to entertain human rights considerations; *which* specific human rights might apply is to be determined by the substantive standards of the applicable law.⁷⁷

(ii) *What law applies?*

IAs do not always specify the law to be applied by a tribunal. If an IIA does, however, specify the applicable law, it is typically both domestic law and international law.⁷⁸ If an IIA is silent as to the applicable law, it will be determined by the applicable rules of procedure. As example, Article 42(1) of the ICSID Convention provides that, failing an agreement between the parties as to the applicable law, the tribunal must 'apply the law of the Contracting State party to the dispute (including its rules on the conflict of laws) and such

71 Yannick Radi, 'Realizing Human Rights in Investment Treaty Arbitration: A Perspective from within the International Investment Law Toolbox' (2012) 37 North Carolina Journal of International Law and Comparative Regulation 1107, 1123.

72 See Bruno Simma and Theodore Kill, 'Harmonizing Investment Protection and International Human Rights: First Steps Towards a Methodology' in Christina Binder, Ursula Kriebaum and August Reinisch (eds), *International Investment Law for the 21st Century: Essays in Honour of Christoph Schreuer* (OUP 2009) 679.

73 See *Biloune and Marine Drive Complex Limited v Ghana* [1989] Ad Hoc Award on Jurisdiction and Liability, 95 ILR 187 [61].

74 ICSID Convention (n 45) art 25.

75 eg Energy Charter Treaty, 34 ILM 360, 2080 UNTS 100 (17 December 1994) art 26(1).

76 *Marco Gavazzi and Stefano Gavazzi v Romania* [2015] Decision on Jurisdiction, Admissibility and Liability, ICSID Case No ARB/12/25.

77 Clara Reiner and Christoph Schreuer, 'Human Rights and International Investment Arbitration' in Pierre-Marie Dupuy, Francesco Francioni and Ernst-Ulrich Petersmann (eds), *Human Rights in International Investment Law and Arbitration* (OUP 2009) 82, 84.

78 Nigel Blackaby and Constantine Partasides, *Redfern and Hunter on International Arbitration* (OUP 2015) [8.62].

rules of international law as may be applicable'.⁷⁹ The term 'international law' in Article 42(1) has been interpreted as reflective of Article 38(1) of the ICJ Statute.⁸⁰

Where a tribunal has recourse to international law, it may introduce international human rights norms, obligations or instruments.⁸¹ However, a tribunal is not obliged to introduce human rights as part of the applicable law. It may decide not to because, *inter alia*, it does not view human rights as directly impacting the core issues of the dispute (as in *CMS* and *Sempra*). If a tribunal decides to introduce human rights, which specific human rights norms, obligations or instruments it introduces are at its discretion.⁸² As example, in *Urbaser*, while the tribunal viewed the applicable law as inclusive of international human rights law, it focused on an array of human rights instruments, including several non-binding instruments, seeming to treat each as having equal dispositive weight.⁸³ This uncertainty directly impacts the degree to which second- and third-generation human rights can play a role in the resolution of the dispute. Equally, even supposing that a tribunal introduces human rights norms, the role that such norms play in the decision may range from significant to irrelevant. Indeed, *CMS*, *Sempra*, and *Suez-InterAgua* demonstrated that, even where a tribunal references human rights, it may simply conclude that they do not bear on the resolution of the dispute.

(iii) Do investors have specific responsibilities?

Currently, investors do not have *direct* obligations regarding human rights on the international plane.⁸⁴ Indeed, the abovementioned views expressed by the tribunal in *Urbaser* remain controversial. While efforts continue to establish binding human rights obligations for corporations on the international plane,⁸⁵ provisions in IIAs establishing investor responsibilities, as illustrated above, remain relatively permissive.⁸⁶ First, they often employ broad, open-textured language. Secondly, they are often couched in non-binding terms requiring, as example, that investors 'strive' or 'endeavour' to achieve certain human rights objectives. Thirdly, they are often directed to States, rather than investors. These themes are further reflected in several of the Model BITs discussed in Section 3, below.

Such themes may of course have practical effects on investor conduct. At minimum, they have little effect on counterbalancing the asymmetric structure of ISDS,

79 ICSID Convention (n 45) art 42(1).

80 ICSID, Report of the Executive Directors of the International Bank for Reconstruction and Development on the Convention on the Settlement of Investment Disputes between States and Nationals of Other States in *ICSID Convention, Regulations and Rules* (2006) [40].

81 Eric de Brabandere, *Investment Treaty Arbitration as Public International Law: Procedural Aspects and Implications* (CUP 2014) 134–36.

82 Monica Feria-Tinta, 'Like Oil and Water? Human Rights in Investment Arbitration in the Wake of *Philip Morris v Uruguay*' (2017) 34 *Journal of International Arbitration* 601, 628.

83 *ibid*.

84 Anne Peters, *Beyond Human Rights: The Legal Status of the Individual in International Law* (CUP 2016) 101.

85 See Revised Draft—Legally Binding Instrument to Regulate, in *International Human Rights Law*, the Activities of Transnational Corporations and Other Business Enterprises (16 July 2019).

86 Jesse Coleman and others, 'International Investment Agreements 2018: A Review of Trends and New Approaches' in Lisa Sachs and others (eds), *Yearbook on International Investment Law & Policy* (OUP 2020) 7.01, 7.73.

which is in no small part the objective of the procedurally focused reforms highlighted in Section 4, below. Moreover, assuming that such investor obligations remain couched in open-textured language, it is unlikely that they would support realization of second- and third-generation human rights. In addition, the lack of substantive, binding obligations in IIAs directed to investors likewise have an indirect effect on counterclaims. Absent such substantive obligations, States will struggle to identify grounds on which to successfully raise counterclaims. Therefore, even assuming that the procedurally focused reforms to counterclaims discussed in Section 4, below, were achieved, the lack of such substantive obligations may constitute foundational barriers to fully realizing their objectives.

3. HOW HAVE MEMBER STATES RESPONDED TO RECENT MODEL BITS? SIMILAR PROBLEM, DIFFERENT SOLUTIONS

This section discusses a selection of recent Model BITs from various jurisdictions that have responded to the calls for ISDS reform. Each of these Model BITs have attempted to incorporate international standards of human rights, labour and environmental protection within a broader framework of corporate social responsibility. However, there exists significant disparity across jurisdictions regarding not only the measures used to address human rights and environmental concerns, but also whether these obligations should be voluntary or binding. Furthermore, there is a variety of approaches adopted by states to address second- and third-generation human rights.

A. Focus on Sustainable Development and Fostering Gender Equality: The 2019 Dutch Model BIT

In 2019, the Netherlands, one of the most prolific capital-exporting countries, adopted a new Model BIT (the '2019 Dutch Model BIT').⁸⁷ This Model BIT is particularly significant because it places sustainable development at its core.⁸⁸ Indeed, Article 6(1) makes clear that '[t]he Contracting Parties are committed to promote the development of international investment in such a way as to contribute to the objective of sustainable development', while Article 6(3) provides that 'it is inappropriate to lower the levels of protection afforded by domestic environmental or labor laws in order to encourage investment'.⁸⁹ This is a radical departure from the earlier Dutch practice, which permitted foreign investors to incorporate entities in its territory even if they had virtually no connection to the Netherlands. Indeed, UNCTAD

87 Agreement on Reciprocal Promotion and Protection and of Investments between ____ and the Kingdom of the Netherlands (22 March 2019), <<https://investmentpolicy.unctad.org/international-investment-agreements/treaty-files/5832/download>> accessed 3 March 2021.

88 2019 Dutch Model BIT, Preamble; see also Kabir Duggal and Laurens van de Ven, 'With Rights Come Responsibilities: Sustainable Development and Gender Empowerment under the 2019 Netherlands Model BIT' (*Kluwer Arbitration Blog*, 15 June 2019), <<http://arbitrationblog.kluwerarbitration.com/2019/06/15/with-rights-come-responsibilities-sustainable-development-and-gender-empowerment-under-the-2019-netherlands-model-bit>> accessed 15 March 2020.

89 *ibid* arts 6(1), 6(4).

notes that for the period between 1987 and 2018, the second most frequent home state of the Claimants was the Netherlands.⁹⁰ While the above provisions of the 2019 Dutch Model BIT may be criticized as lacking sufficiently 'hard language' in relation to sustainable development,⁹¹ at least two provisions attempt to strengthen this obligation. Under Article 20, the appointing authority must ensure that the tribunal 'either individually or collectively', possesses expertise in 'public international law', which includes environmental, human rights law, and investment law,⁹² although it is unclear how this standard will be either determined or enforced, suggesting variation in practice. Furthermore, Article 23 requires the tribunal to take into account non-compliance by the investor of its commitments under the UN Guiding Principles on Business and Human Rights and the OECD Guidelines, while deciding the amount of compensation awarded to claimant-investors.⁹³ This is particularly important, given that investor misconduct has arisen in several investment disputes in recent years.⁹⁴ The Netherlands has, therefore, sought to place investment protection within the broader framework of international law and best practices vis-à-vis business and human rights.

Another unique aspect of the 2019 Dutch Model BIT is the importance attached to gender equality and the role that foreign investment can play in facilitating gender participation. Article 6(3) states:

The Contracting Parties emphasize the important contribution by women to economic growth through their participation in economic activity, including in international investment. They acknowledge the importance of incorporating a gender perspective into the promotion of inclusive economic growth. This includes removing barriers to women's participation in the economy and the key role that gender-responsive policies play in achieving sustainable development.⁹⁵

This is consistent with recent developments in international law. For example, Goal 5 of the UN Sustainable Development Goals regards gender equality as 'not only a fundamental right but a necessary foundation for a peaceful, prosperous and sustainable world'.⁹⁶ Further under Article 9, gender-based discrimination is identified as one of the grounds that would breach the fair and equitable treatment standard.⁹⁷ Indeed, gender discrimination as a violation of the fair and equitable treatment

90 UNCTAD IIA Issues Note: Fact Sheet on ISDS Cases in 2018, May 2019 (Issue), p 3.

91 Bart-Jaap Verbeek and Roeline Knottnerus, 'The 2018 Draft Dutch Model BIT: A Critical Assessment' (*Investment Treaty News*, 30 July 2018), <www.iisd.org/itn/2018/07/30/the-2018-draft-dutch-model-bit-a-critical-assessment-bart-jaap-verbeek-and-roeline-knottnerus> accessed 15 March 2020.

92 2019 Dutch Model BIT art 20(5).

93 *ibid* art 23.

94 See eg *Bear Creek Mining Corporation v Republic of Peru*, Award, ICSID Case No ARB/14/21; IIC 1239 (2015), 30 November 2017.

95 *ibid* art 6(3).

96 United Nations, Sustainable Development Goals, Goal 5, <<https://www.un.org/sustainabledevelopment/sustainable-development-goals/>> accessed 15 March 2020.

97 2019 Dutch Model BIT art 9(2).

standard resonates with Article 15(2) of the Convention on the Elimination of all Forms of Discrimination Against Women.⁹⁸ Furthermore, General Comment 37 of the Committee on the Elimination of Discrimination against Women has expressly noted the role of foreign corporations in promoting gender equality.⁹⁹ These provisions reflect the growing global view of the interdependencies between investment law, gender equality and sustainable development,¹⁰⁰ and the 2019 Dutch Model BIT seeks to innovate in these areas, while recognizing existing international law instruments. The 2019 Dutch Model BIT, therefore, seeks to give effect to protecting second- and third-generation human rights indirectly by focusing on sustainable investment.

B. Focus on Investor Obligations: The Draft Pan-Africa Investment Code

Developed by the African Union,¹⁰¹ the Draft Pan-African Investment Code represents the first model investment treaty developed across the African continent (the '2016 PAIC').¹⁰² Similar to the 2019 Dutch Model BIT, the 2016 PAIC emphasizes the link between sustainable development and investment protection both in the preamble¹⁰³ and in Article 1, which states that this Code is to 'promote, facilitate and protect investments that foster sustainable development'.¹⁰⁴

The 2016 PAIC contains a specific chapter on investors' obligations,¹⁰⁵ a rare occurrence in international investment agreements, which generally tend to focus on solely on investor rights and protections.¹⁰⁶ These include obligations to (i) disclose environmental risks arising from investors' conduct,¹⁰⁷ (ii) ensure harmony between

98 The Convention on the Elimination of all Forms of Discrimination Against Women (18 December 1979), <<https://www.un.org/womenwatch/daw/cedaw/text/econvention.htm#article11>> accessed 15 March 2020 art 15(2) ('States Parties shall accord to women, in civil matters, a legal capacity identical to that of men and the same opportunities to exercise that capacity. In particular, they shall give women equal rights to conclude contracts and to administer property and shall treat them equally in all stages of procedure in courts and tribunals.').

99 See General Comment 37 of Committee on the Elimination of Discrimination against Women, 7 February 2018, para 51.

100 Arbitration Notes, 'Final Dutch Model Bit Published: Potential For Claims Against Investors And Link Between Gender Equality And Investment' (Herbert Smith Freehills, 1 May 2019), <<https://hsfnotes.com/arbitration/2019/05/01/final-dutch-model-bit-published-potential-for-claims-against-investors-and-link-between-gender-equality-and-investment>> accessed 15 March 2020.

101 Makane Mbengue and Stefanie Schacherer, 'Africa and the Rethinking of International Investment Law About the Elaboration of the Pan-African Investment Code' in Anthea Roberts and others (eds), *Comparative International Law* (Oxford University Press 2018) 547, 550.

102 Draft Pan-African Investment Code (December 2016), <https://au.int/sites/default/files/documents/32844-doc-draft_pan-african_investment_code_december_2016_en.pdf> accessed 15 March 2020; Makane Mbengue and Stefanie Schacherer, 'The "Africanization" of International Investment Law: The Pan-African Investment Code and the Reform of the International Investment Regime' (2017) 18(3) *Journal of World Trade and Investment* 414, 415.

103 2016 PIAC Preamble ('Taking into account the Sustainable Development Goals (SDGs) and the Investment Policy Framework for Sustainable Development of the United Nations Conference on Trade and Development (UNCTAD)').

104 *ibid* art 1.

105 2016 PIAC arts 19–24.

106 See Talkmore Chidede, 'The Right to Regulate in Africa's International Investment Law Regime' (2019) 20(2) *Oregon Review International Law* 437, 445.

107 2016 PIAC art 19(3).

investors' economic objectives and state developmental policy,¹⁰⁸ (iii) respect land rights of local communities¹⁰⁹ and (iv) act in compliance with 'internationally recognised human rights'.¹¹⁰ With respect to the environmental measure, the 2016 PAIC not only requires investors to take reasonable measures to restore any damage caused, but also mandates both the state and the investors to conduct impact assessments.¹¹¹ Finally, in the context of labour standards, the 2016 PAIC prohibits both the lowering of legislative standards to encourage investment and the use of child or forced labour within member states.¹¹² These prohibitions on the use of child and forced labour conform with various human rights instruments of International Labour Organisation (ILO), including the Minimum Age Convention and the Abolition of Forced Labour Convention.¹¹³ There is a greater recognition of all three generations, but it remains to be seen how a tribunal might interpret these provisions, especially the investor obligations, which are couched in open-textured language and thus may prove challenging for States to rely on for purposes of counterclaims.

C. Focus on the Exhaustion of Local Remedies: The 2015 Indian Model BIT

India, as a large, developing country started out as a prolific proponent of investment arbitration by signing 83 BITs.¹¹⁴ However, in 2011, following an adverse ruling in the *White Industries v India* case,¹¹⁵ India undertook a comprehensive reform process that ultimately resulted in a new Model BIT (2015 Indian Model BIT).¹¹⁶

The 2015 Indian Model BIT not only sought to preserve the balance between investors' rights and regulatory obligations of the state,¹¹⁷ but also recognize sustainable development and environmental protection as key areas of reform.¹¹⁸ Similar to other new generation investment agreements,¹¹⁹ the Indian Model BIT provides a separate chapter on investor obligations including obligations of corporate social responsibility. Under Article 12, investors must 'voluntarily incorporate internationally

108 *ibid* art 22(2).

109 *ibid* art 23(2).

110 *ibid* art 24(a).

111 *ibid* art 37. In contrast, the 2019 Dutch BIT requires only the investors to conduct a due diligence process regarding social and environmental impact assessment. 2019 Dutch Model BIT art 7(3).

112 2016 PAIC, art 34(3).

113 The Minimum Age Convention (adopted 26 June 1973, entered into force 19 June 1976) ILO Convention No 138 art 1; The Abolition of Forced Labour Convention (adopted 25 June 1957, entered into force 17 January 1959) ILO Convention No 105 art 2.

114 See, eg Kabir Duggal, 'The Changing Landscape of Investor-State Arbitration in India' (2016) 7(2) *Jindal Global Law Review* 128 ('Currently, India has signed eighty-three BITs with different countries and eighteen free trade agreements ('FTA'), which include an investment chapter. This number is higher than many other countries, for example, the United States of America (USA) has signed less than fifty BITs.').

115 *White Industries Australia Limited v The Republic of India* [2011], UNCITRAL Arbitration, Final Award.

116 See Model Text for the Indian Bilateral Investment Treaty, December 2015.

117 Model Text for the Indian Bilateral Investment Treaty (2015) <https://dea.gov.in/sites/default/files/ModelBIT_Annex_0.pdf> accessed 15 March 2020; see also Grant Hanessian and Kabir Duggal, 'The 2015 Indian Model BIT: Is This Change the World Wishes to See?' (2015) 30(3) *ICSID Review – Foreign Investment Law Journal* 216.

118 See eg 2015 Indian Model BIT preamble, arts 12, 26.3.

119 See 2016 PIAC arts 19–24.

recognised standards of corporate social responsibility into their practices' regarding human rights and environmental issues.¹²⁰ In contrast to other new-age BITs,¹²¹ it is noteworthy that the 2015 Indian Model BIT does not refer to any specific standard, such as the UN Guiding Principles on Business and Human Rights and the OECD Guidelines. Therefore, the Indian approach will likely not give rise to concrete human rights obligations. Similar to Article 23 of the 2019 Dutch Model BIT, while determining compensation in an arbitral award, the 2015 Indian Model BIT requires the tribunal to consider mitigating factors, such as 'any unremedied harm or damage that the investor has caused to the environment or local community'.¹²²

While the above paragraphs discuss provisions regarding human rights and environmental protection present in 2015 Indian Model BIT, it is worth noting that the initial draft of Model Text for the Indian Bilateral Investment Treaty 2015 (2015 Draft Indian Model BIT), which was opened for a public consultative process, was far more sensitive to human rights and environmental issues.¹²³ For instance, the 2015 Draft Indian Model BIT specifically referred to law relating to 'human rights' and 'conservation of natural resources' as law of the host state with which investors must comply.¹²⁴ Article 12 of the 2015 Draft Indian Model BIT also states that investors 'should' recognize the rights and traditions of local indigenous communities.¹²⁵ The analogous provision on investors' obligations in the 2015 Indian Model BIT make no express mention of human rights, local communities or the environment.¹²⁶ Instead, the 2015 Indian Model BIT now requires investors to exhaust local remedies before domestic courts instead of expressly providing for human rights¹²⁷ for a period of 5 years,¹²⁸ perhaps in the hope that domestic courts might address such issues. The realization of second- and third-generation human rights is, therefore, effectively left for courts to determine in accordance with their own domestic framework.

120 2015 Indian Model BIT art 12.

121 2019 Dutch Model BIT art 7.

122 2015 Indian Model BIT art 26.3, n 4.

123 Draft Model Text for the Indian Bilateral Investment Treaty (2015) <<https://mygov.in/group-issue/draft-indian-model-bilateral-investment-treaty-text/>> accessed 15 March 2020 (the '2015 Draft Indian Model BIT').

124 *ibid* art 12.

125 *ibid*.

126 *ibid* art 11. While art 12 does mention human rights and the environment under corporate social responsibility of the investor, compliance is not mandatory but voluntary.

127 Exhaustion of local remedies was required under customary international law before a state could espouse claims on behalf of its investors under principles of diplomatic protection. See, eg Draft Articles on Diplomatic Protection, International Law Commission (2006) art 14 ('1. A State may not present an international claim in respect of an injury to a national or other person referred to in draft article 8 before the injured person has, subject to draft article 15, exhausted all local remedies'). Investor-state arbitration seemed to abandon or curtail this requirement limiting it for 12–18 months, although the Indian Model BIT stands out as an interesting counter-example.

128 See 2015 Indian Model BIT art 15.2 ('Where applicable, if, after exhausting all judicial and administrative remedies relating to the measure underlying the claim for at least a period of five years from the date on which the investor first acquired knowledge of the measure in question, no resolution has been reached satisfactory to the investor, the investor may commence a proceeding under this chapter by transmitting a notice of dispute ("notice of dispute") to the Defending Party.').

D. Focus on the Definition of Investment for Human and Environmental Rights: The Ecuadorian Model BIT

In the 2000s, when several countries were still active participants in the investor–state regime, some Latin American countries, including Ecuador, abandoned ICSID arbitration.¹²⁹ Around this time, Ecuador also publicly stated that it was going to terminate all its BITs.¹³⁰ However, following the recent elections in 2017, Ecuador decided to re-embrace ISA and decided to adopt a new Model BIT.¹³¹

In this context, the 2018 Ecuadorian Model BIT attempts to provide a regime that creates the necessary legal security for investors while imposing strict obligations to respect the environment and human rights.¹³² Human rights are central to the Model; indeed, Article 1(2) states that '[t]he respect for human rights and fundamental freedoms enunciated in the Universal Declaration of Human Rights and other international instruments . . . constitutes an essential element of this Treaty'. The definition of the term 'Investment' requires that an investment must make a positive contribution to the host state 'with full respect of human rights and the environment'.¹³³ Regarding jurisdiction, this implies that an enterprise or company in violation of human rights and environmental obligations would not constitute a covered investment subject to protections under the Ecuadorian Model BIT. This definitional exclusion of a company that violates human rights and environmental obligations, from treaty protections is a concept unique to the Ecuadorian Model BIT and is not found in any of the model BITs discussed above.

But respect for human rights and the environment goes even further. Indeed, Article 19 requires the investor to respect 'internationally recognised human and environmental rights and national legislation' in 'all supply chains and investment processes'.¹³⁴ The extension of investors' obligations to cover their supply chains as well,

129 On the denunciation of the ICSID Convention by Latin American states, see eg 'Bolivia Submits a Notice under Article 71 of the ICSID Convention' ICSID News Release (16 May 2007); 'Ecuador Submits a Notice under Article 71 of the ICSID Convention' ICSID News Release (9 July 2009); 'Venezuela Submits a Notice under Article 71 of the ICSID Convention' ICSID News Release (26 January 2012).

130 See eg 'Ecuador set to terminate BITs' Global Arbitration Review (4 May 2017) ('As it prepares for a change of president, the Ecuadorean government has said it will cancel all 12 of its remaining bilateral investment treaties – ostensibly as part of a plan to renegotiate the agreements on more favourable terms.').

131 Republic of Ecuador Model Investment Treaty 2018. See also 'Ecuador in treaty U-turn under new leader?' Global Arbitration Review (17 October 2017) ('Following the election of Lenín Moreno as president this April, Ecuador looks set to renegotiate its bilateral investment treaties and - it has been suggested - could even readopt the ICSID Convention.');

'Ecuador gives Go-Ahead to Arbitration of Investment Disputes' Global Arbitration Review (22 August 2018) ('Ecuador has passed a new investment protection law which expressly approves the use of arbitration to settle all disputes arising from investment agreements, among other reforms – reflecting the current government's positive approach to arbitration.').

132 Tom Jones, 'Ecuador Aims to Balance State and Investor Rights with Model BIT' (*Latin Lawyer*, 19 March 2018) <<https://latinlawyer.com/article/1166738/ecuador-aims-to-balance-state-and-investor-rights-with-model-bit>> accessed 15 March 2020.

133 *ibid* art 3(2)(c).

134 *ibid* art 19.

is a concept that none of the above discussed models expressly provide for.¹³⁵ Breach of Article 19 creates a firm obligation because it would entitle the host state to 'proportional reparations' in accordance with domestic and international law.¹³⁶ The debate here and in other similar BITs listed above would probably be questions on what qualifies as 'internationally recognised human rights and environmental rights'. Depending on how a tribunal interpreted such a reference, it might look to soft law, as well as hard law, as the tribunal did in *Urbaser*, above, for guidance.

On substantive protections, the 2018 Ecuadorian Model BIT explicitly does not cover indirect expropriations.¹³⁷ In the event of a direct expropriation, investors would be entitled to 'adequate compensation' taking into account *inter alia* 'any damage . . . that the investment or investor has caused to the environment or local communities and which have not been remedied'.¹³⁸ Finally, it is notable that the Model requires the host state and not the investor to conduct an environmental and social impact assessment.¹³⁹ This is in contrast to the 2019 Dutch Model BIT which provides this as an obligation of the investor,¹⁴⁰ and the 2016 PAIC which provides this an obligation of both the state and the investor.

E. Focus on Dispute Prevention and State-to-State Arbitration: The 2015 Brazilian Model BIT

Brazil was historically provided as 'Exhibit A' for those who argue that BITs were not required to boost foreign investment because it remained a major investment destination despite not ratifying BITs. However, Brazil entered into a new phase in 2015 when it embarked on a robust investment policy with a new Model BIT (2015 Brazilian Model BIT).¹⁴¹

The 2015 Brazilian Model BIT stands out for its omission of several standard treaty protections, including fair and equitable treatment, full protection and security, and an umbrella clause. Although investors are protected against expropriation,¹⁴² this protection is limited to direct expropriations only, 'where an investment is nationalized or otherwise directly expropriated through formal transfer of title or ownership rights'—an approach similar to the Ecuadorian Model BIT, above.¹⁴³

135 However, it must be noted that the 2019 Dutch Model BIT (discussed below), indirectly address the issue of supply chain management, as they specifically refer to the OECD Guidelines for Multinational Enterprises which, in turn, obliges investors to avoid adversely impacting human rights through activities in their supply chain. See 2019 Dutch Model BIT art 7; OECD, *OECD Guidelines for Multinational Enterprises* (OECD Publishing 2011) 24.

136 Ecuador Model BIT art 19.

137 *ibid* art 7(9).

138 *ibid* art 7(2)(h).

139 *ibid* art 28.

140 2019 Dutch Model BIT art 7.

141 See Cooperation and Facilitation Investment Agreement between the Federative Republic of Brazil and [], <<http://investmentpolicyhub.unctad.org/Download/TreatyFile/4786>> accessed 15 March 2020 (the '2015 Brazilian Model BIT'). See also Geraldo Vidigal and Beatriz Stevens, 'Brazil's New Model of Dispute Settlement for Investment: Return to the Past or Alternative for the Future?' (2018) 19 *The Journal of World Investment & Trade*, 475, 486.

142 2015 Brazilian Model BIT, art 7. However, art 7 permits non-discriminatory regulatory measures in the public interest, where effective compensation is paid.

143 2015 Brazilian Model BIT, art 7.5.

Regarding investor obligations, the 2015 Brazilian Model BIT requires investors to strive to contribute ‘to the sustainable development of the Host State and the local community . . . based on voluntary principles and standards’.¹⁴⁴ In non-binding language, under Article 14, investors ‘shall endeavor’ to, *inter alia*, not only refrain from seeking exemptions from the legal framework relating to human rights and the environment, but also develop self-regulatory practices that build ‘trust between the companies and society in which its operations are concluded’.¹⁴⁵ A more robust and specific provision along similar lines is found in the 2016 PAIC, which prohibits investors from engaging in land grabbing against local communities.¹⁴⁶ Furthermore, Article 16 of the 2015 Brazilian Model BIT allows for the state to take measures ensuring that the investors’ activities conform to domestic laws on health, labour and the environment.¹⁴⁷ Similar to the 2015 Indian Model BIT, the 2015 Brazilian Model BIT also does not specifically discuss any environmental impact assessment requirements or refer to specific corporate social responsibility standards. However, it is significant that under the 2015 Brazilian Model BIT disputes, Article 14 (corporate social responsibility) and Article 16 (measures pertaining to the environment, labour affairs and health) ‘may not be subject to arbitration’.¹⁴⁸ What is unique in this Model, however, is the fact that investor–state arbitration is not permitted, instead, there is a complex mechanism involving dialogue and consultation between the contracting states and if the dispute cannot be resolved amicably, then a state party can initiate state-to-state arbitration.¹⁴⁹ The human rights implications in this state-to-state arbitration remains untested.

F. Comparing the Proposals

Comparing the proposals listed above, several interesting points emerge. First, we see an increased focus on human rights and environmental concerns generally across States, whether high- or low-income. Secondly, we also notice a concerted effort to protect the regulatory powers of a State even though this can take a variety of different modalities across the model agreements. Thirdly, we observe a greater focus on investor obligations and reliance on corporate social responsibility provisions of the investors. Overall, while we see a positive trend towards recognizing second- and third-generation human rights, these model agreements do not generally establish binding human right obligations in this regard, thereby perpetuating continued uncertainty for human rights considerations in the investment regime. Furthermore, the system still seems to prioritize protection of foreign investment without holistically looking at investment policy *per se* or strengthening domestic institutions with a stake in realizing human rights on the international plane. For ISDS, this modest evolution of substantive obligations remains notable as a directional trend, but without direct, unambiguous obligations on investors, States would be challenged to rely

144 *ibid* art 14.

145 *ibid*.

146 2016 PAIC, art 23(2).

147 2015 Brazilian Model BIT, art 16.

148 *ibid* art 24.

149 *ibid*.

Table 1. Operative Provisions in Model Agreements

Provision	2019 Dutch model	2016 PAIC	2015 Indian model	2018 Ecuadorian model	The 2015 Brazilian model
FET provision	Art 9	Absent	Absent	Art 7	Absent
Indirect expropriation	Art 12	Art 11	Art 5.3	Not covered under the Treaty	Not covered under the Treaty
Right to environment (through Environmental Impact Assessment)	Art 7	Art 37	Absent	Art 28	Absent
Corporate social responsibility and linkages to international principles	OECD Guidelines and UN Guiding Principles	Art 22 with no express linkage to international standards	Art 12 but linkage to international standard is voluntary	Art 19(2) but requires compliance with 'internationally recognized human and environment rights'	Art 14 but requires compliance with voluntary principles including 'internationally recognized human rights'

on such obligations for purposes of sustaining human rights-based arguments of bringing counterclaims.

The Table 1 below compares how the countries compare traditional protections with human rights principles.

4. ISDS REFORM: THE PROCEDURAL PATHWAY TO SAFEGUARD HUMAN RIGHTS

A. Three Proposals for ISDS Reform—Different Paths to the Same Destination

As noted above, ISDS is facing several calls for reform,¹⁵⁰ with greatly varying approaches being advocated.¹⁵¹ Issues relating to human rights and protection of the environment have propelled much of the criticisms on human rights¹⁵²; therefore, it remains to be seen how the reform process would address human rights considerations.

The most notable pushes towards reform of ISDS have been through discussions at the UNCITRAL Working Group III: ISDS Reform (Working Group III),¹⁵³ the European proposal of a Multilateral Investment Court (MIC),¹⁵⁴ and the current Proposal for Amendment to the ICSID Rules (Proposed Amendment to ICSID Rules).¹⁵⁵ The institutional reforms focus largely on procedural rights—for example, creating better transparency, reducing the costs, and permitting *amici* participation. Substantive human rights concerns on labour or human rights are often separate issues perhaps because these can be negotiated separately between states during the IIA negotiation process which, largely unlike procedurally based matters, are within their ability to control. In contrast, the reform process seeks to address *how* the dispute itself should be resolved. Therefore, the ISDS proposals for reform focuses on certain critical civil and political rights (such as public and community participation and rule of law)

150 Stephen M Schill and Geraldo Vidigal, 'Cutting the Gordian Knot: Investment Dispute Settlement a la Carte' (2018) International Centre for Trade and Sustainable Development 1, 1.

151 See generally Sergio Puig and Gregory Shaffer, 'Imperfect Alternatives: Institutional Choice and the Reform on Investment Law' (2018) 112 American Journal of International Law 1, 1; Anthea Roberts, 'Incremental Systemic and Paradigmatic Reform in Investor-State Arbitration' (2018) American Journal of International Law, 112, 3 (describing that states fall into three categories when it comes to the reform process before UNCITRAL Working Group III: (i) incrementalists, who argue that the ISDS system remains the best option, but could use some reforms; (ii) systemic reformers, who see ISDS as a flawed system altogether, and argue for more significant reforms; and (iii) paradigm shifters, who advocate for the wholesale replacement of the ISDS system).

152 See George K Foster, 'Investor-Community Conflicts in Investor-State Dispute Settlement: Rethinking "Reasonable Expectations" And Expecting More from Investors' (2019) 69 American University Law Review 105.

153 See 'Working Group III: Investor-State Dispute Settlement Reform' (*United Nations Commission on International Trade*) <https://uncitral.un.org/en/working_groups/3/investor-state> accessed 15 March 2020. The meetings on ISDS reform began with the 34th Session in 2017 and is presently at the 39th session.

154 'Multilateral investment court: Council gives mandate to the Commission to open negotiations' (*European Council*, 20 March 2018), <<https://www.consilium.europa.eu/en/press/press-releases/2018/03/20/multilateral-investment-court-council-gives-mandate-to-the-commission-to-open-negotiations/>> accessed 15 March 2020.

155 'A Brief History of Amendment to the ICSID Rules and Regulations' (*International Centre of Settlement of Investment Disputes*), <<https://icsid.worldbank.org/sp/amendments/Pages/Resources/A-Brief-History-of-Amendment-to-the-ICSID-Rules-and-Regulations.aspx>> accessed 15 March 2020.

over second- and third-generation rights (such as the right to water or environment). As noted in Section 3, above, countries have started including certain second- and third-generation rights in their Model BITs.¹⁵⁶ This bifurcated approach to resolving substantive versus procedural norms is probably not ideal, but offers a fair compromise in a world in which there is no universal agreement on either substance or procedure.

(i) *Working group III: working towards procedural reform*

At the 48th session of the UNCITRAL, the Commission took note of the rising number of complaints against the current model of ISDS, as well as proposed reforms.¹⁵⁷ A Working Group was created in 2017 with a broad mandate to work on possible reforms of ISDS.¹⁵⁸ A three-step sequential process was identified: '(i) first, identify and consider concerns regarding ISDS; (ii) second, consider whether reform was desirable in light of any identified concerns; and (iii) third, if the Working Group were to conclude that reform was desirable, develop any relevant solutions to be recommended to the Commission'.¹⁵⁹ However, 'the mandate given to the Working Group focused on the procedural aspects of dispute settlement rather than on the substantive provisions'.¹⁶⁰ Substantive human rights considerations for the most part will therefore not figure into the Working Group III discussions. This is not to suggest that human rights never figured in the discussions,¹⁶¹ however, the decision was ultimately taken to focus solely on the procedural aspects.

As an initial step in the reform process, the following 'concerns' were identified: (i) lack of consistency, coherence, predictability and transparency; (ii) correctness of arbitral decisions, arbitrators, and decision makers and (iii) cost and duration of ISDS.¹⁶² A number of reforms have been proposed to address some or all of these concerns, including the creation of a potential advisory centre, permitting non-party participation, developing codes of conduct and reformed third-party funding.¹⁶³ More large-scale proposals were also discussed at a preliminary level, such as the

156 The earlier BITs often protected just one human right, ie the right to property (and often in a fairly limited manner—just for foreign investors).

157 United Nations Commission on International Trade, *Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its thirty-fourth session* (Working Group III Report, 2017) para 1 (the '34th Session of Working Group III').

158 *ibid* para 6.

159 *ibid* para 6.

160 *ibid* para 20.

161 See United Nations Commission on International Trade, Summary of the Intersessional Regional Meeting on Investor-State Dispute Settlement reform submitted by the Government of the Republic of Korea (Working Group III Thirty-Sixth Session, 2019) [48] ('the need for ISDS reforms to take into account other policy considerations such as sustainable development, human rights and environment, was mentioned').

162 United Nations Commission on International Trade, *Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its thirty-seventh session* (Working Group III Report, 2019) para 16 (the '37th Session of Working Group III').

163 Nathalie Bernasconi-Osterwalder and Lise Johnson, 'What to Expect in the January 2020 Session of UNCITRAL Working Group III on ISDS Reform' (*Investment Treaty News*, 17 December 2019) <<https://www.iisd.org/itn/2019/12/17/what-to-expect-in-the-january-2020-session-of-uncitral-work-group-iii-on-isds-reform-nathalie-bernasconi-osterwalder-lise-johnson>> accessed 15 March 2020.

creation of an appellate mechanism, the financing of a permanent body and selection of a permanent ISDS tribunal.¹⁶⁴

While the proposals raised do not permit substantive human rights issues, they do envision a greater role for some human rights considerations. The reform process on costs, for example, may implicate the right to a fair trial, while selection of arbitrators with a background in human rights might result in better human rights decisions. Some human rights issues (eg, right to trial, right to a due process, access to justice) are directly or indirectly implicated in the Working Group III's reform agenda. Other substantive human rights concerns that have figured frequently in investment disputes do not find any mention.¹⁶⁵

At present, due to the COVID-19 pandemic, the 39th session of the Working Group III scheduled to take place in March and April 2020 has been put on hold.¹⁶⁶

(ii) *The multilateral investment court: a 'Permanent' solution?*

One of the suggestions discussed during the Working Group III proposed by the European Union (EU), is the idea of creation of a permanent MIC in lieu of the current ISDS system. The proposal originated with EU-US negotiations for a Transatlantic Trade and Investment Partnership (TTIP) to replace the ISDS mechanism in all ongoing and future EU investment negotiations.¹⁶⁷ At the same time, the EU and Canada included in a major trade agreement—the Comprehensive Economic and Trade Agreement (CETA)—the establishment of a similar international court to resolve disputes.¹⁶⁸ This proposal seeks to address some of the concerns about ISDS including the “double hatting” of arbitrators who also act as counsel, the chilling effect the system places on a state's regulatory powers,

164 See United Nations Commission on International Trade, *Report of Working Group III (Investor-State Dispute Settlement Reform) on the work of its resumed thirty-eighth session* (Working Group III Report, 2020) (the '38th Session of Working Group III').

165 For example, the *Philip Morris* case against Uruguay centered around the right to health, the *Urbaser* case against Argentina focused on the right to water under “human right treaties, while the *Bearcreek* case against Peru centered on the right of indigenous people. See *Philip Morris Brand Sàrl (Switzerland), Philip Morris Products S.A. (Switzerland) and Abal Hermanos S.A. (Uruguay) v Oriental Republic of Uruguay* [2016] ICSID Case No ARB/10/7, Award, paras 291–305 (the tribunal ultimately dismissed the case on the merits but with a dissenting opinion and after a decision on jurisdiction); *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v The Argentine Republic* [2016] ICSID Case No ARB/07/26, Award, paras 1182–221 (the tribunal permitted the counterclaim on the right to water but dismissed it on the merits); *Bear Creek Mining Corporation v Republic of Peru* [2017] ICSID Case No ARB/14/21, Award, paras 400–14 (the majority concluded that the right for consultations with indigenous communities was on the state and not the investor).

166 The postponement announcement can be viewed at ‘Working Group III: Investor State Dispute Settlement Reform’ (*United Nations Commission on International Trade Law*), <https://uncitral.un.org/en/working_groups/3/investor-state> accessed 15 March 2020.

167 ‘Investment Court System proposed by European Commission’ (*Investment Treaty News*, 26 November 2015), <<https://www.iisd.org/itn/2015/11/26/investment-court-system-proposed-by-european-commission/>> accessed 15 March 2020.

168 Laurent Gouffès and others, ‘CETA paves the way for Investment Court System’ (*Hogan Lovells Arbitration Blog*, 6 December 2016), <<https://www.hlarbitrationlaw.com/2016/12/ceta-paves-the-way-for-investment-court-system/#page=1.%5B/fn>> accessed 15 March 2020. art 8.29 of the CETA, titled ‘Establishment of a multilateral investment tribunal and appellate mechanism’ states: ‘The Parties shall pursue with other trading partners the establishment of a multilateral investment tribunal and appellate mechanism for the resolution of investment disputes.’

and the impact of investor claims on public money.¹⁶⁹ The EU–Vietnam Free Trade Agreement contains a similar mechanism to that contained in CETA for the establishment of the MIC (with both foreseeing the setting up of a permanent MIC).¹⁷⁰ Currently the European Commission is engaging the proposal with other countries.¹⁷¹

As with the Working Group III, while there is no improvement of substantive human rights in the proposal, the proposals would greatly improve *certain* civil and political rights. Reforms on transparency and third-party intervention allow for greater success of raising human rights claims relating to access to justice, and fair trial and greater participation of the public. Reducing frivolous claims and providing stronger rules on security reduces the financial burden placed on public money and allows for less of a regulatory chill on a State's regulatory powers.¹⁷²

(iii) *Proposed amendment to ICSID rules—tightening all the procedural limitations in ISDS*

ICSID probably account for the lion's share of the investor–State disputes. While the process of amending the ICSID Convention is very difficult, ICSID has sought to amend the Arbitration Rules to improve the arbitral process, for example, changes in 2006. More recently, in February 2020, the ICSID Secretariat published its fourth working paper on proposals for rule amendments.¹⁷³ The proposal is subject to comments, and approval and adoption by the ICSID Administrative Council before it can come into force.¹⁷⁴

The Proposed Amendment to ICSID Rules aims to take a number of steps to increase procedural fairness and the right to fair hearing. This includes Chapter X (Publication, Access to Proceedings and Non-Disputing Party Submissions) of the Proposed Amendment to ICSID Rules, which aims to increasing transparency, going as far as admitting observers to hearings and allowing ICSID to publish hearing recordings and hearing transcripts.¹⁷⁵ Furthermore, the Proposed Amendment to ICSID Rules aim to increase disclosures of third-party funding and corporate structures, improving overall transparency and legitimacy of ISDS.¹⁷⁶ Considering the limitations on amending the ICSID Convention itself, the Amendment of the ICSID Arbitration Rules has been a valiant effort by ICSID to strengthen the arbitral process. As the changes are procedural, they largely impact first generation human rights

169 *ibid.*

170 'The Multilateral Investment Court Project' (European Commission, 21 December 2016) <<http://trade.ec.europa.eu/doclib/press/index.cfm?id=1608>> accessed 15 March 2020.

171 *ibid.*

172 See Valentina Cagnin, 'Investor-State Dispute Settlement (ISDS) from a Labour Law Perspective' (2017) 8(3) European Labour Law Journal 217.

173 International Centre of Settlement of Investment Disputes, *Proposal for Amendment of the ICSID Rules, (Working Paper#4, 2020)* (the 'Amendment of ICSID Rules Working Paper 4').

174 Alexander G Leventhal, 'The 2018 Proposals for Amendments of the ICSID Rules: ICSID Enters the Era of Trump, Populism, and State Sovereignty' 22(15) (2018) American Society for International Law, <<https://www.asil.org/insights/volume/22/issue/15/2018-proposals-amendments-icsid-rules-icsid-enters-era-trump-populism>> accessed 15 March 2020.

175 Amendment of ICSID Rules Working Paper 4 (n 173) ch X.

176 Ylli Dautaj and Esmé Shirlow, 'The ICSID Reforms and Working Paper 4: Push or Pull?' (*Kluwer Arbitration Blog*, 14 March 2020), <<http://arbitrationblog.kluwerarbitration.com/2020/03/14/the-icsid-reforms-and-working-paper-4-push-or-pull/>> accessed 15 March 2020.

(eg access to justice and due process) while they remain silent on second- or third-generation human rights (which should be addressed in investment agreements).

B. The Three Proposals and Human Rights: The Whole is Greater than the Sum of its Parts

The abovementioned three proposals each may have synergies with human rights considerations. In this section, the three proposals are compared against the following human rights consideration: (i) reconciling investment treaties with sustainable development goals (SDGs); (ii) addressing concerns surrounding investor–state transparency; (iii) preventing regulatory chill due to threat of investment claims; (iv) permitting counterclaims to turn the tables and (v) increasing third-party participation.

(i) Reconciling investment treaties with SDGs

Critics argue that investment treaties often impose significant costs that negatively affect the sustainable development objectives of states.¹⁷⁷ The SDGs focus largely on second- and third-generation rights, such as the right to food or a clean environment, while all three proposals are more focused on procedural reform to the ISDS, which consequently prioritizes certain civil and political rights instead.

However, all three proposals conform with Goal 16, which seeks to promote the rule of law through predictability, transparency and consistency. Each of these is a focal point of the Working Group III, the MIC and Proposed Amendment to the ICSID Rules. Goal 16 is part of the broader goal of a consistent legal system, which procedurally will help ensure the success of human rights claims. The reform process, therefore, helps promote a narrow and specific SDG (Goal 16), but is silent on—and hence may negatively impact—other SDGs.

(ii) Addressing concerns surrounding investor–state transparency

One of the biggest concerns with the current form of ISDS is its lack of transparency—an issue each of the reforms proposed attempts to address.¹⁷⁸ The rationale behind transparent investment decisions is that it provides clarity as to decision-making, it ensures predictability and consistency, and it therefore provides scope for reform of laws, *inter alia*, to address human rights concerns. But, it also helps the public gain greater access to information which is an important human rights consideration.

The Working Group III explicitly noted that transparency improves rule of law and access to justice.¹⁷⁹ It recognized that the first step towards transparency was to increase the adoption of the UNCITRAL Rules on Transparency in Treaty-based

177 Lise Johnson, Brooke Skartvedt Güven and Jesse Coleman, 'Investor-State Dispute Settlement: What Are We Trying to Achieve? Does ISDS Get us There?' (*Columbia Center on Sustainable Development*, 11 December 2017) <<http://ccsi.columbia.edu/2017/12/11/investor-state-dispute-settlement-what-are-we-trying-to-achieve-does-ids-get-us-there/>> accessed 15 March 2020.

178 Recently, we also see a general emphasis on transparency in neighboring areas to ISDS, such as business and human rights arbitration. See, eg The Business and Human Rights Arbitration Working Group, 'The Hague Rules on Business and Human Rights Arbitration' (December 2019), arts 38–43.

179 34th Session of Working Group III (n 157) para 73.

Investor–State arbitration (the Mauritius Convention).¹⁸⁰ The Working Group III seeks to improve transparency of arbitral proceedings through implementation and promotion of transparency standards, including the ‘preparation of soft law instruments that could encourage parties and tribunals to apply such standards where not explicitly prohibited by treaty or other applicable law or arbitration rules’.¹⁸¹

The MIC proposal has also explicitly stated the importance of transparency in its articles, as well as operationally through its use of permanent judges in a more ‘court-like’ system.¹⁸² For example, Article 18 of the TTIP proposal is dedicated to transparency, applying the Mauritius Convention but going even further with additional obligations of publishing requests for consultations, determination, mediation, challenge as well as all documents submitted to the Appeal Tribunal.¹⁸³

The Proposed Amendment to the ICSID Rules, under Proposed Rule 63, aim to make it easier to publish awards and orders, by deeming consent to publication after 60 days.¹⁸⁴ The Proposed Amendment to the ICSID Rules also allows for greater outside participation, both in terms of observation and engagement.¹⁸⁵

(iii) Preventing regulatory chill due to threat of investment claims

A common criticism of ISDS is that it creates an investor-friendly priority and this results in a chill on states who are reluctant to adopt regulatory changes due to the threat of investment claims.¹⁸⁶ As noted by South Africa at the Working Group III deliberation:

Often, investors use ISDS strategically, publicly and repeatedly filing cases to coerce governments to agree on favourable terms for their investments, rather than turning to ISDS as a measure of last resort. Even though IIAs do not in themselves directly limit the legislative or regulatory powers of States, they may lead governments to thread more cautiously -and hence potentially insufficiently from a public-interest perspective -when planning and designing regulation. As such, governments might refrain from imposing regulatory measures in the public interest due to the threat of investment arbitration and the high damages it entails.¹⁸⁷

180 *ibid* para 74.

181 *ibid* para 80.

182 Céline Lévesque, ‘The European Commission Proposal for an Investment Court System: Out with the Old, In with the New?’ (2016) 10 Centre for International Governance <<https://www.cigionline.org/publications/european-commission-proposal-investment-court-system-out-old-new>> accessed 15 March 2020.

183 The TTIP Proposal art 18.

184 Leventhal (n 174).

185 Dautaj and Shirlow (n 176).

186 Gouiffès and others (n 168).

187 United Nations Commission on International Trade, Possible Reform of ISDS Submission from the Government of South Africa (Working Group III Report, 2019), para 63.

Thus, even if the claims are frivolous or without backing, the mere threat of ISDS cases may act as a strong deterrence, particularly on sensitive environmental, health and labour reforms.¹⁸⁸

Given the focus on procedural reform of all three proposals, there is inherently less of a focus on substantive human rights. The Working Group III, however, noted that regulatory chill fell outside its mandate, stating instead that it will merely be guided by those underlying concerns.¹⁸⁹ The MIC proposal also noted the concerns of regulatory chill¹⁹⁰; however, it provided no express provisions to alleviate concerns.¹⁹¹ The Proposed Amendment to ICSID Rules do not cover regulatory chill because of the limitations of the amendment process.

Clearly, the three proposals attempt to streamline the process to remove cases that are not meritorious on an expedited basis (thereby reducing costs) and also seeking security for costs. For example, the Working Group III in its 39th session aimed to address frivolous claims and reduce the possibility of repeatedly filing cases.¹⁹² The MIC similarly has included provisions against frivolous claims under Article 17,¹⁹³ as well as provisions providing for security for costs under Article 21.¹⁹⁴ The Proposed Amendment to ICSID Rules allows, pursuant to Rule 51, parties to object to claims which are manifestly without legal merit.¹⁹⁵ Moreover, Rule 63 allows the Tribunal to determine costs on a number of factors, including conduct of the parties, which would in theory allow for greater costs to be imposed on obviously frivolous claims.¹⁹⁶

(iv) *Permitting counterclaims towards turning the tables*

The Working Group III stated that any work done by it would not foreclose the possibility of states bringing claims against investors ‘where there was a legal basis for doing so’.¹⁹⁷ The Working Group III recognized the more fundamental issue with counterclaims is that ‘investment treaties impose obligations on host States, whereas

188 Gus Van Harten and Dayna Nadine Scott, ‘Investment Treaties and the Internal Vetting of Regulatory Proposals: A Case Study from Canada’ (*Investment Treaty News*, 26 September 2017), <<https://www.iisd.org/itn/2017/09/26/investment-treaties-internal-vetting-regulatory-proposals-case-study-from-canada-gus-van-harten-dayna-nadine-scott/>> accessed 15 March 2020.

189 Crina Baltag, ‘An Update on the ISDS Reform: the 37th Session of the UNCITRAL Working Group III Investor-State Dispute Settlement Reform’ (*Kluwer Arbitration Blog*, 2 May 2019), <<http://arbitrationblog.kluwerarbitration.com/2019/05/02/an-update-on-the-isds-reform-the-37th-session-of-the-uncitral-working-group-iii-investor-state-dispute-settlement-reform/>> accessed 15 March 2020.

190 Gouiffès and others (n 168).

191 European Commission, *Multilateral investment court strengthens investments vis-à-vis democracy and fundamental rights* (Position Paper, 2017) 3.

192 United Nations Commission on International Trade, Annotated Provisional Agenda for 39th Session (Working Group III Report, 2020) para 9.

193 The TTIP Proposal art 17.

194 The TTIP Proposal art 21, ‘For greater certainty, upon request, the Tribunal may order the claimant to post security for all or a part of the costs if there are reasonable grounds to believe that the claimant risks not being able to honour a possible decision on costs issued against it.’

195 Amendment of ICSID Rules Working Paper 4 (n 173) rule 51.

196 Amendment of ICSID Rules Working Paper 4 (n 173) rule 63.

197 United Nations Commission on International Trade, *Possible reform of investor-State dispute settlement (ISDS): Multiple Proceedings and Counterclaims* (Working Group III Report, 2020) para 32 (the ‘Working Group III Discussion on Counterclaims’).

no or very limited obligations are imposed on investors. This limits the possibility of respondent States bringing counterclaims against the investor claimant for breach of its obligations under the treaty'.¹⁹⁸ With several model BITs now placing obligations on investors, it remains to be seen whether things will be different. The other concern is that of jurisdiction of the tribunal to hear counterclaims, which has had inconsistent jurisprudence.¹⁹⁹ The Working Group III discussed the possibility of increasing obligations on investors (such as obligations in relation to human rights, the environment, and corporate social responsibility)²⁰⁰—a diversion into second-generation rights for reform proposals largely focused on certain first generation rights. The Working Group III also aimed to increase the admissibility of counterclaims,²⁰¹ thereby improving the first generation right to fair trial.

The MIC proposal has not explicitly considered counterclaims; however, it was noted that there was the possibility of the MIC being able to hear counterclaims by states against the actions of foreign investors.²⁰² The MIC does not envision increasing investor obligation, leaving that to the treaties to determine.²⁰³ However, the MIC would theoretically increase consistency on admissibility of counterclaims because it is permanent nature.

The Proposed Amendment to the ICSID Rules allow for counterclaims (termed 'ancillary claim') arising directly out of the subject-matter of the dispute, provided that such ancillary claim is within the scope of the consent of the parties and the jurisdiction of the Centre.²⁰⁴ The amended section now creates an implied consent for counterclaims, requiring the parties to explicitly agree against the admissibility of counterclaims.²⁰⁵ This prevents the prior system of rejection of counterclaims on the basis of lack of consent by the investors.²⁰⁶

198 *ibid* para 35.

199 *ibid* para 37.

200 *ibid* para 40.

201 *ibid* para 44. It was noted that 'the Working Group may wish to consider formulating clauses for use by States in their offer to arbitrate in investment treaties, which would be broad enough to cover any counterclaim that States may raise. Such a clause could reduce, if not eliminate, uncertainty about the consent of the parties as well as any connection requirement, whether factual or legal'.

202 Simon McKeagney, 'Multilateral Investment Court: Commission suggests counter-claims by states may be possible' (*Transatlantic Trade and Investment Partnership*, 12 October 2017), <<https://ttip2016.eu/blog/MIC%20Counter%20claims.html>> accessed 15 March 2020.

203 *ibid*.

204 Amendment of ICSID Rules Working Paper 4 (n 39) rule 48. 'Unless the parties agree otherwise, a party may file an incidental or additional claim or a counterclaim ("ancillary claim") arising directly out of the subject-matter of the dispute, provided that such ancillary claim is within the scope of the consent of the parties and the jurisdiction of the Centre.'

205 'Summary Comments to the Proposals for Amendment of the ICSID Arbitration Rule' (*International Institute for Sustainable Development*, 15 March 2019), <<https://icsid.worldbank.org/en/Documents/IISD.pdf>> accessed 15 March 2020.

206 *ibid*.

Table 2. Whether specific human rights considerations have been addressed by the three major reform proposals

Reform agenda	Alignment with SDGs	Transparency	Regulatory chill	Third-party participation
Working Group III	Indirectly addressed in a fairly limited manner	Directly addressed	Outside scope	Not substantively addressed
MIC	Indirectly addressed in a fairly limited manner	Directly addressed	Not substantively addressed	Directly addressed
ICSID Amendment	Indirectly addressed in a fairly limited manner	Directly addressed	Not addressed	Directly addressed

(v) *Increasing third-party participation*

Calls for reform of ISDS frequently bring up the issue of third-party participation, given that it is often the rights of third parties that are affected by international investment projects.²⁰⁷ Often the land of indigenous communities are taken for investment projects, without providing them the avenue of ISDS for relief.²⁰⁸ The existing ISDS system does not provide much scope for either protection or representation of such concerns.²⁰⁹ While there have been tribunals that have accepted third party submissions in the form of *amicus curiae* submissions, this is subject to tribunal discretion and has not been universal.²¹⁰ Moreover, given the confidentiality of ISDS, the third parties who are affected often are unaware of the investment disputes which directly concern their rights.

The Working Group III, when discussing reform in relation to appellate process, briefly considered allowing for non-party submissions, but did not discuss it substantively, simply noting that ‘an appellate mechanism could provide a forum for relevant parties (including non-disputing Parties as well as any other affected or interested third parties) to be involved in the interpretation process’.²¹¹

The MIC model also provides for the option for third parties to participate.²¹² Article 23 allows for third parties to participate, allowing ‘any natural or legal person

207 Lorenzo Cotula, ‘Reforming Investor–State Dispute Settlement: What about Third-Party Rights?’ (2019) Durham University, <<https://pubs.iied.org/pdfs/17638IIED.pdf>> accessed 15 March 2020.

208 Jesse Coleman and others, ‘Third-Party Rights in Investor–State Dispute Settlement: Options for Reform’ (2019) Columbia Center on Sustainable Investment, <<http://ccsi.columbia.edu/files/2019/07/uncitral-submission-third-party-participation-en.pdf>> accessed 15 March 2020.

209 Cotula (n 207).

210 *ibid.*

211 38th Session of Working Group III (n 164) para 47.

212 Stephan Wilske, Raeesa Rawal and Geetanjali Sharma, ‘The Emperor’s New Clothes: Should India Marvel at the EU’s New Proposed Investment Court System?’ (2018) 6 Indian Journal of Arbitration

which can establish a direct and present interest in the result of the dispute (the intervener) to intervene as a third party'.²¹³ The right to intervene is without prejudice to *amicus curiae* briefs, and extends to the Appeal Tribunal.²¹⁴

The Proposed Amendment to the ICSID Rules has measures taken to allow for greater public participation under Rules 62 and 63 to increase publication of awards and decisions and observe under Rule 65.²¹⁵

(vi) *Comparing the human rights considerations in the three reform proposals.* There are efforts in the reform process to expressly address certain human rights considerations. The Table 2 below compares the position as it stands today. The reform process by the institutions tend to be procedural in nature and as a result, they promote certain first-generation human rights like access to justice and due process. As seen in the Table 2 below, there is a nascent support for the alignment with SDGs which may touch upon second- and third-generation human rights although the references are often ambiguous or aspirational.

5. CONCLUSION

We are perhaps midway through a sea change in ISDS, as evidenced not least by the abovementioned procedural reform efforts and evolving constructs within drafting of IIAs. In a certain sense, the signals have persisted for some time. We have considered one such signal here, namely, the inconsistent yet noteworthy evolution of human rights considerations throughout the ISDS regime. We see in ongoing ISDS reform discussions a vision for the role, both functional and thematic, of human rights that considerably expands upon its historically marginal impact. Pressing firmly against this evolution remains an emphasis on a very narrow view of human rights, which is particularly rooted in an approach that at best recognizes the role of certain first-generation human rights. We have endeavoured to summarize such barriers, so as to lay bare progress to date and the work that remains to be done. We hope that other scholars continue to explore opportunities to break down such barriers.

Yet tailwinds abide, whether in progressive provisions in Model Agreements or reform proposals that advance related procedural components to lay the groundwork for future substantive components. The ISDS ecosystem, however, appears poised to take on the challenge of encouraging second- and third-generation human rights, as envisioned by its efforts to align with the vision for the SDGs. Such efforts ought to be applauded and suggest that the future of ISDS will be increasingly harmonized with the very human rights considerations that it has historically struggled to incorporate or prioritize. As Courtney Pratt, the former CEO of Toronto Hydro stated: 'Business has a responsibility beyond its basic responsibility to its shareholders; a responsibility to a broader constituency that includes its key stakeholders: customers, employee, NGOs, government—the people of the communities in which it operates'.²¹⁶

Law 9, <http://ijal.in/sites/default/files/IJAL%20Volume%206_Issue%202_Stephan%20Wilske,%20Raeesa%20Rawal%20&%20Geetanjali%20Sharma.pdf> accessed 15 March 2020.

213 The TTIP Proposal art 23.

214 *ibid*.

215 *ibid* rules 62, 63, 65.

216 See CSR International, <<https://www.csr-company.com/resources-corner/words/memorable-quotes-ethics-csr-and-sustainability>> accessed 17 April 2020.